(6) INCOME TAXES

Earnings before income taxes were derived from the following sources:

	Years Ended March 31,		
(In thousands)	2016	2015	2014
United States	$ 527,100	$ 572,182	$ 539,063
Foreign	2,617	11,939	12,842
	$ 529,717	$ 584,121	$ 551,905

Income tax expense consists of:

	Years Ended March 31,		
(In thousands)	2016	2015	2014
Current:			
Federal	$ 148,585	$ 163,774	$ 184,308
Foreign	1,029	2,010	4,561
State	15,413	17,410	19,121
	165,027	183,194	207,990
Deferred:			
Federal	30,792	24,499	(4,722)
Foreign	(197)	2,604	(1,127)
State	(3,405)	5,738	(1,020)
	27,190	32,841	(6,869)
	$ 192,217	$ 216,035	$ 201,121

Significant differences between taxes computed at the federal statutory rate and the provision for income taxes were:

	Years Ended March 31,		
	2016	2015	2014
Taxes at U.S. federal statutory rate	35.0 %	35.0 %	35.0 %
Increase (decrease) in income taxes resulting from:			
State income taxes, net of federal benefit	1.5 %	2.6 %	2.1 %
Domestic production activities deduction	(1.2)%	(1.0)%	(1.0)%
Other, net	1.0 %	0.4 %	0.3 %
	36.3 %	37.0 %	36.4 %

The tax effects of cumulative temporary differences and carryforwards that gave rise to the significant portions of the deferred tax assets and liabilities were as follows:

(In thousands)	March 31, 2016	2015
Deferred Tax Assets:		
Inventories	$ 25,936	$ 27,697
Deferred rental income	17,670	17,986
Insurance reserves	12,410	14,157
Litigation settlement and other reserves	2,330	3,132
Asset retirement obligations	8,279	7,553
Stock-based compensation	36,357	33,538
Other	35,787	19,876
Net operating loss carryforwards	11,070	12,061
Valuation allowance	(1,141)	(671)
	148,698	135,329
Deferred Tax Liabilities:		
Plant and equipment	(732,503)	(711,840)
Intangible assets	(227,809)	(207,690)
Other	(12,822)	(12,301)
	(973,134)	(931,831)
Net deferred tax liability	$ (824,436)	$ (796,502)

Current deferred tax assets and current deferred tax liabilities have been netted for presentation purposes. Non-current deferred tax assets and non-current deferred tax liabilities have also been netted. Deferred tax assets and liabilities are reflected in the Company's consolidated balance sheets as follows:

(In thousands)	March 31, 2016	2015
Current deferred income tax asset, net	$ 69,908	$ 58,072
Non-current deferred income tax liability, net	(894,344)	(854,574)
Net deferred tax liability	$ (824,436)	$ (796,502)

The Company has recorded tax benefits amounting to $13.5 million, $16.0 million and $13.7 million in the years ended March 31, 2016, 2015 and 2014, respectively, resulting from the exercise of stock options. This benefit has been recorded in capital in excess of par value.

The Company has recorded deferred tax assets related to the expected future tax benefits of net operating losses of $11.1 million and $12.1 million as of March 31, 2016 and 2015, respectively. State net operating loss carryforwards expire at various times through 2036. Foreign net operating losses are available to offset future income taxes over an indefinite period.

U.S. income taxes have not been provided on approximately $97 million of undistributed earnings of non-U.S. subsidiaries because it is the Company's intention to continue to reinvest these earnings in those subsidiaries to support their growth. Due to the timing and circumstances of repatriation of such earnings, if any, it is not practicable to determine the unrecognized deferred tax liability relating to such amounts.

As of March 31, 2016, the Company has unrecognized state tax benefits of approximately $20.9 million, which were recorded in other non-current liabilities, and a related $8.3 million of federal tax assets associated with those state tax benefits recorded in

non-current deferred tax assets. If recognized, all of the unrecognized tax benefits and related interest and penalties would reduce tax expense. The Company does not anticipate significant changes in the amount of unrecognized income tax benefits over the next year.

A reconciliation of the beginning and ending amount of unrecognized net income tax benefits, including penalties associated with uncertain tax positions, is as follows:

	March 31,	
(In thousands)	**2016**	**2015**
Beginning unrecognized net income tax benefits	$ 20,983	$ 18,224
Additions for current year tax positions	3,845	3,565
Additions for tax positions of prior years	187	1,288
Reductions for tax positions of prior years	(3,306)	(1,646)
Reductions for settlements with taxing authorities	—	(234)
Reductions as a result of expiration of applicable statutes of limitations	(787)	(214)
Ending unrecognized net income tax benefits	$ 20,922	$ 20,983

Interest and penalties recognized for the years ended March 31, 2016, 2015 and 2014 were classified as income tax expense in the Company's consolidated statements of earnings and were not material. Consistent with past practice, the Company will continue to record interest and penalties associated with uncertain tax positions in income tax expense. The Company had approximately $3.8 million and $4.7 million for the payment of interest and penalties accrued at March 31, 2016 and 2015, respectively.

The Company files income tax returns in the United States and foreign jurisdictions. The Company also files income tax returns in every state which imposes corporate income tax. The Company is not under examination by the IRS or in any significant foreign, state or local tax jurisdictions. With limited exceptions, the Company is no longer subject to U.S. federal, state and local, or foreign income tax examinations by tax authorities for years before fiscal 2012.